The Colonial Advocate

TRUTH – INDUSTRY – PATRIOTISM – REFORM

Vol. II – No. 19 | York, Upper Canada – The Seventh of May, in the Year 2026 | Price: Four Pence

ON THE GREAT & GILDED FRAUD NOW PERPETRATED UPON THE PEOPLE

THE CANADA STRONG FUND: A SOVEREIGN NAME FOR A BORROWED SWINDLE

Wherein the Printer examines Mr. Carney's vaunted Wealth Fund, and finds therein no Wealth, no Fund, and very little that may rightly be called Canadian at all – save the Bill which the People must pay.

By William Lyon Mackenzie – Printer & Publisher

Reader, you have been presented with a marvel. In these days of economic uncertainty and national anxiety, our Minister-President – that erstwhile Governor of the Bank of England, that darling of Davos, that polished instrument of international Finance – has announced that Canada shall at last have what Norway has: a Sovereign Wealth Fund. He stood before a gleaming locomotive at the Museum of Science and Technology in Ottawa – very apt, for he, too, is a machine built to impress – and declared that this new Fund would be the people's own. *"It will be your Fund,"* said he. Reader, when a man of great means tells a man of modest ones that a thing is *his*, take care to count your fingers after the handshake.

Let us examine this prodigy with the same plain candour that this Press has always employed. Norway's great Fund – held up by Mr. Carney as his model and his inspiration – was built upon something that all honest men will recognize as the necessary precondition of a Wealth Fund, to wit: WEALTH. The Norwegians, blessed with offshore oil, did not spend those revenues upon the appetite of the present moment. They stored them. They invested them abroad – deliberately abroad, lest the very weight of so much capital overheat their own economy. Their Fund forbids domestic investment by solemn rule. Today that Fund commands some three trillion dollars and covers nearly a quarter of Norway's annual expenditures from its returns alone. It is a monument to the virtues of prudence, patience, and public ownership wisely exercised.

"A Sovereign Wealth Fund requires, as its very foundation, Sovereignty and Wealth. Mr. Carney's Canada Strong Fund possesses neither, and borrows freely in the hope that no one shall notice the absence of both."

Mr. Carney's Fund is something altogether different – though the name is the same, as a counterfeiter's shilling bears the same face as a true one. The Government of Canada does not possess surplus revenues. It has not possessed them for the better part of two decades. Its net worth, if so flattering a term may be applied to so dismal a ledger, stands in the negative to the tune of ONE TRILLION AND FOUR HUNDRED BILLION DOLLARS. A negative net worth! And yet from this abyss of obligation, Mr. Carney proposes to conjure twenty-five billion dollars – not from oil revenues salted away, not from surpluses accumulated in years of prudent governance — but from *borrowing*. He would place the debt upon the backs of the very people he addresses as the Fund's beneficiaries and owners. He would write their names upon a credit instrument and call it a gift.

This is not a Sovereign Wealth Fund. It is, as the sharp-tongued men of the press and the counting-house have already observed, a LEVERAGED INVESTMENT VEHICLE STAFFED BY BUREAUCRATS — a kind of private equity fund, minus the private capital and minus the equity, financed instead by the public treasury and the goodwill of future generations yet unborn, who have not been consulted and cannot vote. It invests not abroad, where risk is hedged and returns are diversified, but exclusively in Canadian projects — meaning that when our domestic economy contracts, as it has done and shall do again, the losses shall compound themselves with savage efficiency upon both the Fund and the nation at once.

Now, there are those who shall accuse this Printer of mere factional carping, of opposing Mr. Carney because opposition is our trade. Let them examine the critics more carefully. It is not the Reformers alone who raise these objections. Economists of the first rank, financial commentators of no particular political complexion, and even the great pension funds of this country — who were not, we note with some astonishment, so much as *consulted* before the announcement — have each in their own manner expressed bewilderment. What is this Fund for, precisely? If the projects it shall finance are commercially viable, why cannot private capital — which Mr. Carney assures us will invest *alongside* the Fund — finance them without the public guarantee? And if the projects are not commercially viable, then what we have is not an investment vehicle but a subsidy engine dressed in the respectable clothes of finance.

The people of this country deserve an honest answer to that question. They will not easily obtain one, for the details of this Fund were withheld at the time of its grand announcement, as they have so often been withheld when grand announcements prove, upon scrutiny, to be grand theatre. The Fund's purposes shift with the questions put to it. One day it is nation-building infrastructure; the next, clean energy; the next, advanced manufacturing; the next, a retail investment vehicle into which ordinary Canadians may pour their modest savings – their children's educations, their retirements, their small accumulated hopes – into projects that the private sector has already deemed unworthy of its attention. Is this the inheritance Mr. Carney has prepared for them?

"When a Minister announces a Fund built on Debt and calls it Wealth, when he offers the People a stake in projects that no private man will touch, and names this generosity – then has the language of public finance been debased as surely as any clipped coin."

There is, moreover, a darker concern which this Printer would place before the public, and which the polished language of financial prospectuses will not easily address. Every student of political economy knows the great peril of a government fund that selects among projects, for it must necessarily reward some men and neglect others. The selection of projects is the selection of favourites. The governance of such a fund – however independent its board, however commercial its stated mandate – will be tempted by political necessity at every turn. A mine in a marginal constituency, a pipeline that serves a particular interest, a hydrogen facility that happens to employ the workers of a province about to vote – these are the pressures against which no fund charter has yet proven entirely proof. The best-constructed sovereignty in the world cannot fully insulate public money from political desire. And Mr. Carney's Fund, we are told, will be explicitly connected to *nation-building priorities* chosen by the Cabinet itself. This is independence in name only.

We have been here before. Not in these precise circumstances, perhaps — for each generation invents its own peculiar forms of the same ancient corruptions — but in spirit and in kind. This Printer has, across many years of publishing, observed how power clothes itself in the rhetoric of the public good. The Family Compact of an earlier age did not announce its intentions as the oppression of the common man; it announced them as good order, prosperity, and loyal progress. Today the language is different — it speaks of sovereignty, of nation-building, of competing with America — but the mechanism is the same: the concentration in few hands of decisions that touch the pockets and prospects of all.

Canada is a wealthy country. Abundantly, embarrassingly wealthy in land, in water, in mineral, in forest, in the ingenuity of its people. But that wealth has never translated cleanly into the hands of those who produced it, and it will not do so now through the invention of a Fund that borrows money to invest it in projects selected by the same political class that has presided over decades of deficits and the gradual hollowing-out of the public household. The workers of this country do not need their government to *gamble* on their behalf with borrowed capital while offering them a retail instrument by which they may, if they wish, gamble too. They need the conditions — sound regulation, honest taxation equitably applied, the rule of law uncaptured by private interest — within which their own industry may flourish.

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Mr. Carney is a man of formidable intelligence and international stature. This Printer will grant him that without reservation, for it would be as dishonest to deny his abilities as to pretend that abilities alone constitute wisdom in governance. But there is a particular danger in the very clever man who, having mastered the mechanisms of global finance, mistakes those mechanisms for the foundations of national life. A sovereign wealth fund is a tool. Like all tools, its virtue lies entirely in the use to which it is put, the conditions under which it operates, and the honesty with which its custodians account for it to those in whose name it acts. On each of these counts, the Canada Strong Fund – as presently described, or rather, as presently *un*described, for the details remain yet to be furnished – raises more questions than it answers.

The people of this dominion are not children, to be dazzled by a locomotive and a noble name. They understand debt. They feel it in their mortgages and their grocery bills and the interest charges on the credit extended to them by the very financial institutions that Mr. Carney once regulated. To tell them that borrowing twenty-five billion dollars is equivalent to saving it – that a Fund built on debt is a Fund built on wealth – is to treat them as something less than the free, rational, and morally serious citizens that this Press has always believed them to be.

We close with a simple demand, which this Printer makes not in the name of faction or party, but in the name of that plain accountability without which no free government may long endure: Show us the details. Open the books. Name the projects, name the governance, name the costs, name the risks, and let the people judge. If this Fund is what Mr. Carney says it is – a genuine instrument of public wealth, transparently managed, free from political interference, prudently structured – then let that case be made in the clear light of full disclosure, and this Printer will say so. But if, as so many careful observers already suspect, it is a borrowed speculation dressed in patriotic clothes, then the people of Canada deserve to know that too – before they are asked to pay for it.

They are, after all, the ones who shall.

The Colonial Advocate is printed and published in the spirit of William Lyon Mackenzie (1795–1861), who established the original Colonial Advocate in 1824 at Queenston, Upper Canada, and thereafter at York, where he campaigned against the oligarchy of the Family Compact and in defence of the rights and liberties of the common people of this Province. The opinions herein are those of a free press, beholden to no ministry, no bank, and no power save the conscience of its readers.